

Meta Platforms, Inc.
META NASDAQ

Hold	\$591.71 ▲ 0.64%	12M Price Target \$640.00	52-Week Range \$520.26 – \$796.25	Market Cap \$1.51T
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META: AI CapEx Anxiety Meets Rebound — Range-Bound

WHAT HAPPENED

- Stock is stabilizing around \$591 after a violent ride — it cratered to \$539 last week on earnings (free cash flow fell 91% because Zuck is spending like crazy on AI data centers), then snapped back 10% as buyers stepped in. Today's tiny move on very light volume (3.4M shares vs. typical 25M+) tells me the panic sellers are done and we're in "wait and see" mode.
- The bigger story is the market-wide "AI CapEx" freak-out — Yahoo literally ran a segment today asking if big tech is overspending. Arista Networks ripping on earnings ("AI demand is real") is a counter-signal that helps META's bull case.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

IS IT EXPENSIVE?

See key data table.

WHAT COULD GO WRONG

- AI CapEx keeps expanding — if Zuck announces another \$20B in data center spending next quarter, the stock gets punished again regardless of ad revenue strength.
- FTC antitrust ruling — if the judge orders Instagram divestiture, the stock could drop 20%+ overnight; this is a known unknown hanging over every long position.
- The non-obvious risk: TikTok. If the US-China deal on TikTok's US operations falls apart and TikTok gets banned, META wins huge (Reels captures the users); if TikTok gets sold to a well-funded American buyer, META loses a tailwind it's been quietly enjoying for two years.

IN THE NEWS

Tech stocks today: SpaceX, AMD top quarterly results, but fail to impress Wall Street. Sha... Yahoo Finance · 2026-08-03 14:04

AI CapEx fears: Is big tech overspending? Yahoo Finance Video · 2026-08-05 10:00

Reaction to AMD Earnings Shows Why It's Hard Being in Second Place Barrons.com · 2026-08-05 14:13

Arista Networks Stock Surges as Earnings Prove AI Demand Is Real Barrons.com · 2026-08-05 13:56

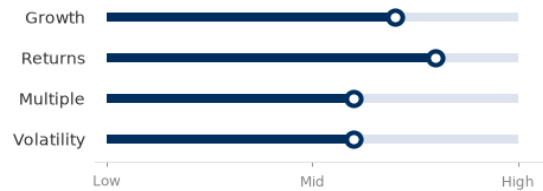
Who Might Buy Snap If Its Founders Ever Decide to Sell 24/7 Wall St. · 2026-08-05 12:25

WHAT OPTIONS TRADERS ARE DOING

Key Data

Price (USD)	\$591.71
12M Price Target	\$640.00
Upside / (Downside)	+8.2%
Market Cap	\$1.51T
FY2026E Revenue	\$195M
FY2027E Revenue	\$225M
FY2026E EPS	\$24.50
FY2027E EPS	\$28.00
Fwd P/E	24.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$640.00	\$600.00	\$555.00
6 Months	\$720.00	\$640.00	\$520.00
1 Year	\$800.00	\$660.00	\$480.00
2 Years	\$950.00	\$720.00	\$450.00
5 Years	\$1400.00	\$900.00	\$400.00
10 Years	\$2200.00	\$1200.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials (+1.56%) and Healthcare (+1.22%) — classic defensive/cyclical rotation as tech digests AI spending fears. Consumer Discretionary up 7% over 5 days signals risk-on appetite is still alive, just being more selective.

COOLING OFF: Communication Services (+0.04% today) — META's own sector is barely moving because the AI capex narrative is weighing on the whole group (Google has the same issue). This is a sector-specific headwind, not a market-wide one.

ROTATION WATCH: Money is rotating OUT of "AI spenders" (META, GOOGL, MSFT) and INTO "AI beneficiaries" (Arista, networking, power infrastructure). That's why ANET ripped on earnings and META is stuck.

RELATED PLAY: If you believe META's AI spending will actually work, the picks-and-shovels play is buying the companies META is buying FROM — Arista (ANET) for networking, Vertiv (VRT) for data center cooling, and the utilities powering these data centers.

WHO'S WINNING IN THIS SPACE?

- ANET (Arista Networks): Ripping today because their earnings proved AI infrastructure demand is real — they sell to hyperscalers like META, so their strength is a leading indicator.
- AMD (Advanced Micro Devices): Beat on earnings but stock sank — "hard being in second place" behind Nvidia. Tells you the market is punishing anyone who isn't a clear category winner.

META CONTEXT: META is LAGGING its "Mag 7" peers over the past month because it's viewed as the biggest AI spender relative to its clear AI revenue payoff. That's actually a setup for outperformance IF they can show a single quarter of AI-driven ad revenue acceleration — the bar is now low.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Solid business at a reasonable price, but too many binary events (FTC ruling, capex trajectory) to pound the table.

POSITION SIZE: 3-5% of portfolio — META is a core holding for anyone with a diversified book, but I wouldn't overweight until the AI-spending narrative resolves.

ENTRY POINTS: I'd add on pullbacks to \$540-560 (the recent low was \$539) — that's the "AI panic" zone where the market punishes them and you get paid to be patient.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is either (a) the FTC ruling or (b) two consecutive quarters showing AI-driven ad revenue acceleration.

WHEN TO BAIL: If ad revenue growth slows below 10% YoY, or if capex guidance jumps another 25%+ without any revenue visibility, or if the FTC forces an Instagram spin-off — any of those and I'm reducing.

HEDGING: If you own META and are nervous, buy 6-month put options at the \$520 strike — think of it as insurance that pays off if the stock drops 12%+. Costs about 3-4% of your position value but lets you sleep.